Chapter 4 Organizing the Accounts

In most accounting systems, the accounting structure is organized in such a way as to make reporting accurate for the type of business. A small, cash-operated restaurant might structure their accounts differently than a car dealership would—which would be different from how a refinery complex would. However, there are some common groupings that you'll find in most accounting systems.

Assets

Assets are items owned by the business such as cash in the bank, company cars, computer systems, and invoices from customers, etc. In general, you will see the assets organized into at least three categories.

Current Assets

Current Assets include cash and items you reasonably expect to turn into cash within the year. At a minimum, this will include any bank accounts, any short-term investments, and receivables (i.e., money owed you from customers). The current assets generally make up the working capital that a business has. Most businesses will try to keep a balance between having enough cash to pay bills and expense but not tying up a lot of money in a non-interest-bearing account.

Some businesses break their cash accounts down even further, dividing them between checking, savings, and possibly money market accounts. Other businesses such as banks and credit unions might break the receivables down, possibly between currently due portions of loans and longer term money owed.

Prepaid Expenses are monies paid out for supplies or services that are expected to be used with the year. For example, a service contract paid in advance for a copier would be considered a Prepaid Expense. Stocking up on shipping supplies after the Christmas rush to save money (but using them up within the year) is another Prepaid Expense.

Inventory

In general, inventory is considered a current asset; you should expect to see the products within the year. However, inventory requires sales effort in order to become cash. By keeping inventory separate, you can get a better handle on actual working funds for bills and expenses. If a short-term event occurs that prevents you from selling products, you still want to have enough current assets to pay your short-term bills.

In addition, inventory is tracked differently since you need to know the cost of inventory items when they are actually sold. We will cover inventory costing methods in a later chapter.